

LAKSH'S DAILY BRIEF

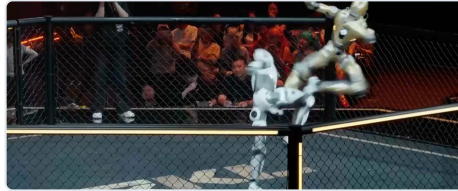
Laksh's Morning Briefing — September 20, 2026

Sunday, September 20, 2026

World · Markets & Money · AI & Infrastructure · Models & Research



Al Jazeera — Hundreds protest in Tunisia for release of jailed Gaza flotilla activists



Al Jazeera — Humanoid robots fight in cage match in Shanghai



BBC World — Trump says his planned triumphal arch will double as a military complex to store ammunition

1. World & Geopolitics

The Middle East crisis deepens as the US warns citizens and Houthis strike Riyadh. The State Department formally urged Americans to "reconsider travel" to the Middle East, citing intensifying Houthi attacks and Iran's closure of the Strait of Hormuz ([CNBC](#)). This is the strongest public signal yet that Washington believes the conflict could widen. The Strait of Hormuz (a narrow waterway between Iran and Oman that about 20% of the world's oil passes through) has been effectively shut since the start of the US-Iran war, and Iran shows no sign of reopening it. Separately, Houthi rebels — a group backed by Iran that controls much of Yemen — launched a missile attack targeting Riyadh, Saudi Arabia's capital, for the first time since the Yemen conflict resumed ([France 24](#)). The US publicly cautioned that the situation in Yemen is rapidly escalating, yet it has been unwilling to intervene militarily on Saudi Arabia's behalf, a major shift in the relationship between the two countries ([France 24](#)). Saudi Arabia is now caught between an aggressive Iran-backed group and a US ally that is visibly distracted.

Ukraine launched its largest-ever drone attack on Moscow. Ukraine fired over 1,000 drones at Russia overnight, with hundreds aimed at the Russian capital. Moscow's mayor said 450 drones were downed during the barrage, which killed two people and damaged an oil refinery and a residential building ([BBC](#); [NPR](#)). This is a significant escalation in Ukraine's ability to strike deep inside Russian territory. Separately, Polish Prime Minister Donald Tusk revealed that Ukraine's military casualties — killed and wounded — now amount to

roughly 27,000 personnel per month, a stark figure that underscores the brutal attrition on the front lines ([socportal.info](#)). Putin, meanwhile, accused Ukraine of sabotaging peace negotiations, though Ukraine has repeatedly signaled its readiness for an unconditional ceasefire ([Kyiv Post](#)). Tusk said flatly that Russia is not ready for serious peace talks without Ukraine's de facto surrender.

Trump prepares to host Xi Jinping for a historic state visit. The visit comes amid intense trade tensions, the ongoing US-Iran war, and deepening US-China rivalry over AI and chips ([The Center Square](#)). In a diplomatic prelude, US and Chinese top diplomats held a call to discuss "high-level interactions" ([tbsnews.net](#)). Meanwhile, a Taiwanese minister made a rare visit to China for the APEC meetings, highlighting the delicate dance between Taipei and Beijing even as military drills continue in the Taiwan Strait ([inkl](#)).

Israel-Palestine violence escalates in the West Bank. An Israeli settler was fatally shot, and Israel's military said it killed a Palestinian man who attempted to ram his vehicle into troops ([France 24](#)). Israeli military authorities have been warning the government that the situation in the West Bank is spiraling out of control. In a highly provocative move, Prime Minister Benjamin Netanyahu and his wife toured tunnels underneath the Al-Aqsa Mosque compound in Jerusalem ([Al Jazeera](#)). The Al-Aqsa compound is one of the most sensitive religious sites in the world. Any change to its status quo risks sparking a wider conflict. Separately, the Israeli

documentary "NAZA," which profiles anonymous military sources speaking about the killing of civilians in Gaza, received a standing ovation at the Venice Film Festival but has drawn violent threats and condemnation from Netanyahu at home ([France 24](#)).

Iran attempts a mass mobilization campaign while the economy crumbles. Iranian authorities launched a major drive to mobilize citizens, sparking fears of renewed conflict with the US ([Al Jazeera](#)). At the same time, the cost of living crisis is reshaping daily life — young Iranians are postponing marriage and children as inflation and war weigh on their futures ([Al Jazeera](#)). In a separate diplomatic spat, Iran shut down the French Language Centre in Tehran, alleging "illegal acts that violated diplomatic conventions" ([France 24](#)).

2. Markets, Money & Deals

The Federal Reserve raised interest rates for the first time since 2023. Fed Chair Kevin Warsh and the Federal Open Market Committee (FOMC) — the committee that sets US monetary policy — announced a quarter-point hike, surprising many investors who had expected rates to stay on hold ([ABC News](#)). Warsh's comment that the Fed has "more work to do" left Wall Street wondering just how far rates will go ([CNBC](#)). Why does the stock market hate rate hikes? Higher interest rates make borrowing more expensive for companies, which reduces profits. They also make safer investments like bonds more attractive, pulling money out of stocks. History suggests that after the first hike in a new cycle, stocks tend to struggle for a while ([The Motley Fool](#)).

But the real pain is coming from diesel prices. Record diesel prices are exposing deep vulnerabilities in the economy ([MarketWatch](#)). Diesel is the fuel for trucks, trains, and heavy machinery. When diesel prices rise, the cost of transporting everything — food, clothing, construction materials — goes up. This is a direct hit on the economy that the Fed's rate hikes, which target consumer demand, can't easily fix ([Detroit Free Press](#)).

Paramount and Warner Bros. are closing in on a \$110 billion merger. Paramount is weighing concessions to finalize the deal, which would create one of the world's largest media conglomerates ([NYT](#)). State attorneys general are involved in antitrust settlement talks ([Deadline](#)).

US midterm elections are shaping up as a potential nightmare for stocks. Historical patterns suggest that the party holding the White House tends to lose seats in midterms, creating a gridlocked Congress that can spook markets ([The Motley Fool](#)). Meanwhile, a new poll shows midterm voters are overwhelmingly worried about the national debt, adding another layer of political pressure on spending ([MarketWatch](#)).

France's wine production nears a 70-year low. Heatwaves and drought are devastating vineyards, forcing French winemakers to consider new markets, products, and even different grape varieties ([CNBC](#)). It is a concrete, real-world picture of how climate change is reshaping even the most traditional industries.

Williams agreed to buy Momentum Midstream for \$5.5 billion. This is a major energy infrastructure deal, as Williams (a natural gas pipeline giant) scoops up a midstream company that moves and processes natural gas ([EnergyNow](#)). This is the kind of deal that shows the energy industry is betting on sustained demand for natural gas, partly driven by power-hungry data centers.

Bitcoin surged past \$82,000. The rally was driven by strong ETF (exchange-traded fund) inflows and a broader risk-on sentiment in crypto, with Sui (a newer blockchain platform) surging 25% ([CoinMarketCap](#)). The crypto rally is an interesting counter-narrative to the Fed rate hike, suggesting that some investors see digital assets as a hedge against traditional market risks.

Warren Buffett stepped down as Berkshire Hathaway's chairman. He passed the role to his son, Howard, a long-planned succession move designed to ensure the company's culture endures after Buffett is gone ([CNBC](#)). The move had been telegraphed for years and is not a surprise, but it marks the end of an era.

JPMorgan projects cloud capex at \$954 billion. The bank's research analysts see a massive wave of spending on data centers and cloud infrastructure, and they argue that the recent pullback in semiconductor stocks represents a buying opportunity ([techflowpost.com](#)).

3. AI & Infrastructure

The AI industry faces a massive antitrust lawsuit. A proposed class action lawsuit has been filed against Anthropic, OpenAI, Google, and SpaceXAI, alleging that they made a "self-serving" agreement to slow down AI development ([Tom's Hardware](#); [Quartz](#)). The plaintiffs claim that these companies, instead of competing to build safe AI, colluded to pause development in a way that protects their market dominance. The lawsuit argues that AI safety and protocol should not be controlled by private, for-profit agreements. This is a foundational legal battle that will shape how AI is regulated and developed for years to come. The stakes: a ruling against the companies could force them to open up their research and compete faster, while a dismissal could entrench their power.

Nvidia CEO Jensen Huang has emerged as Trump's go-to AI advisor. As the leader of the world's most valuable company, Huang now has Trump's ear on the most important AI policy decisions ([CNBC](#); [The Tech Buzz](#)). This is a massive data point for anyone investing in AI infrastructure. Huang's proximity to Trump means Nvidia's interests are well-represented in the White House, which likely means favorable policies for GPU exports, data center buildouts, and AI research funding. The antitrust lawsuit against the AI labs, notably, does not name Nvidia.

Higher interest rates and AI safety fears put the stock market to the test. The market is wrestling with two competing narratives: the Fed's hawkish turn (a headwind for all growth stocks) and the raging debate on whether to slow down AI development (an existential risk for AI companies' growth rates) ([CNBC](#)). For investors, this creates a confusing environment. The hyperscalers

(Google, Amazon, Microsoft, Meta) are spending hundreds of billions on AI, but if regulation or safety concerns slow down AI adoption, those investments may not pay off as quickly as expected.

Nscale, an Nvidia-backed AI cloud provider, plans a US IPO. The company's valuation may reach \$35 billion ([TradingKey](#)). This is the latest in a wave of AI infrastructure companies going public to raise capital for the massive GPU and data center buildout.

Bloom Energy lined up \$25 billion to power AI data centers. The fuel cell company secured a massive financing commitment to provide on-site power generation for data centers ([Dealroom](#)). This is a clear signal that the AI buildout is hitting the power grid bottleneck. Data centers need reliable electricity 24/7, and the grid in many places can't handle the load, so companies are turning to on-site generation.

China's CXMT is testing the limits of US chip export controls. The Chinese memory chip maker is pushing to acquire advanced manufacturing equipment despite US restrictions, highlighting the cat-and-mouse game between Washington's export controls and Beijing's determination to achieve self-sufficiency in chips ([IndraStra Global](#)).

The Congressional Black Caucus focused on AI and data centers. The CBC's annual policymaking week in Washington was dominated by concerns about AI's impact on jobs, data center placement in minority communities, and redistricting ([CNBC](#)). This is a signal that AI is becoming a political issue that crosses party and demographic lines.

4. Model & Research Watch

Step 5 Preview was fully released — China's cheapest frontier model yet. With approximately 600 billion parameters (the "weights" or "knowledge" of the model, roughly analogous to the number of connections in a brain), Step 5 Preview matches "K3-level performance" (likely a Chinese benchmark ranking). The API pricing is stunningly aggressive: \$1.00 per 1 million input tokens, \$0.05 per 1 million cached input tokens, and \$2.70 per 1 million output tokens ([Intelligent Living](#)).

For context, OpenAI's GPT-6 Astra costs significantly more. The model outputs about 100 tokens per second, faster than the average reasoning model. Step 5 Preview has closed weights (the company does not share the underlying model data, so you can only use it via their API), but the price point puts pressure on every other provider.

PrismML released Ternary Bonsai 2 27B — a massive leap for local AI. This model is an Apache 2.0

licensed (fully open, can be used for anything including commercial purposes) open-weight model that retains 98.2% of the performance of Qwen3.8 27B (a top-tier 27B parameter model) while being compressed to just 5.9 GB ([MarkTechPost](#)). This uses a technique called "ternary" quantization (quantization means reducing the precision of the model's numbers to make it smaller and faster; ternary is an extreme form where each number is only -1, 0, or 1). A 27B parameter model that fits in 5.9 GB and runs on a laptop is a genuinely big deal.

Qwen-Image-2.1 is released as an open-weights model. This is a 7-billion parameter image generation and editing model that outperforms most closed-source models in its class while being incredibly fast and lightweight ([Alibaba Qwen Blog](#); [r/LocalLLaMA](#)). It is unified, meaning one model can both generate images and edit them. It supports multi-image inference and is designed for cost-effectiveness.

MiniCPM5-2B launches and outperforms

Qwen3.5-4B. This is a tiny 2-billion parameter model that beats a 4-billion parameter model from the Qwen family on average benchmarks ([pasqualepillitteri.it](#)). The trend toward smaller, more efficient models that can run on edge devices (phones, laptops) is accelerating.

Science & Frontier Tech: - **NASA discovered the largest crater ever found on the Moon** — a major finding for lunar geology and future exploration ([News-Graphic.com](#)). - **Astronomers discovered a "cosmic switch" that controls black hole outbursts** — a finding that could help explain how galaxies evolve ([The Daily Galaxy](#)). - **A new study using T. rex teeth isotopes suggests they ran as warm as elephants** — warm-blooded dinosaurs debate continues ([Ars Technica](#)). - **NASA and IBM released an open-source Lunar Foundation Geospatial AI Model** for analyzing lunar surface data ([USRA](#)).

5. What Builders Are Actually Using

- **Concrete swap: Replace Qwen3.8 27B (or GPT-6/ Gemini 3.x for simple tasks) with PrismML Ternary Bonsai 2 27B.** Capability gap: roughly 1.8% drop in quality on most benchmarks. Price: Qwen3.8 27B costs about \$0.50-\$1.00 per million tokens via API, and GPT-6 costs much more. Bonsai 2 27B is completely free (Apache 2.0) and, at 5.9 GB, runs on a single consumer GPU (e.g., an RTX 3090 or MacBook Pro M-series with 16GB+ RAM). The trade-off is that you have to host it yourself, but for any developer with a decent machine, the cost savings are enormous. This is the first "ternary" model that is actually good enough to ship in production.
- **CUA-S1 is gaining traction for "computer use" tasks.** This is a System One model — meaning it makes fast, intuitive decisions rather than slow, deliberate ones — designed to automate GUI (graphical user interface) interactions ([Hacker News](#)). Think of it as a model that can click buttons, fill out forms, and navigate software for you, but without the high cost of calling a giant frontier model for every simple step. Builders are routing easy computer-use tasks to CUA-S1 and hard ones to GPT-6 or Claude.
- **Qwen-Image-2.1 is the open-source image generation model to beat.** The [r/LocalLLaMA](#)

community is excited because it is truly "unified" — one 7B model handles generation AND editing, which means fewer pipelines to manage. It is fast and cheap to run, and the weights are fully open. Builders are using it as a drop-in replacement for DALL-E or Midjourney for use cases where those models' cost or API limitations are an issue.

- **Weight folding and CUDA streams are the optimization technique of the week.** An engineer's deep-dive on fixing a bug where a model "spoke backwards" is making the rounds, teaching the community about how weight folding (a way to compress model weights at inference time) and CUDA streams (a way to parallelize operations on Nvidia GPUs) interact ([finance.biggo.com](#)). This is the level of detail that separates a good AI engineer from a great one.
- **Model routing SaaS (Software as a Service) is maturing.** The practical insight from the community is that no single model is best for everything. The smartest setup is a router that sends simple queries to a tiny local model (like MiniCPM5-2B) and only calls expensive cloud APIs for complex reasoning. The savings are 10x-50x on API costs.

6. Watchlist: Earnings, Guidance & Movers

Notable Movers (from approximate/delayed snapshot, vs prior close):

Big Gainers (+3% or more): - **SanDisk (SNDK): +10.99%** — No specific earnings news from today's sources, but the move tracks with the broader memory/AI demand story. Investors may be pricing in stronger NAND flash demand from data centers. - **Robinhood (HOOD): +9.12%** — Likely riding the crypto rally, as Bitcoin surged past \$82k. Robinhood's revenue is sensitive to crypto trading volumes. - **Coinbase (COIN): +11.66%** — Same crypto tailwind. Higher Bitcoin prices mean higher trading volumes and more revenue for Coinbase. - **Applied Optoelectronics (AAOI): +7.25%** — The optical networking play continues to benefit from the data center buildout. No specific news today, but the secular trend is intact. - **Coherent (COHR): +7.22%** — Same story as AAOI. Optical components are critical for the high-speed interconnects inside AI data centers. - **KLA Corp (KLAC): +4.74%** — Semiconductor capital equipment demand remains strong. - **Credo (CRDO): +4.54%** — Networking connectivity for AI data centers. - **Lumentum (LITE): +4.17%** — Optical components. - **Arm Holdings (ARM): +4.04%** — AI chip architecture licensing. - **Micron (MU): +3.92%** — Memory demand

from AI. - **Astera Labs (ALAB): +3.30%** — Connectivity for data centers. - **Broadcom (AVGO): +2.97%** — AI networking and custom ASICs.

Big Losers (-3% or more): - **Netflix (NFLX): -4.67%** — No specific news in the sources. The move may be a rotation out of growth/entertainment stocks due to the Fed rate hike (higher rates mean these stocks' future earnings are worth less today). - **Qualcomm (QCOM): -5.82%** — Potentially impacted by the US-China chip war headlines, or a rotation out of mobile/consumer chip stocks. - **Fluence Energy (FLNC): -4.44%** — Clean energy / battery storage stocks are often sensitive to rising interest rates (they carry high debt loads for construction). - **Redwire (RDW): -7.01%** — Volatile space stock with no specific news in today's sources. - **IBM: -3.45%** — No specific news. May be part of a broader tech selloff. - **Constellation Energy (CEG): -3.08%** — Power generation for data centers. The dip is counterintuitive given the AI buildout, but higher rates are a headwind for all capital-intensive infrastructure. - **Cloudflare (NET): -3.10%** — No specific news. Potentially part of the growth-stock selloff. - **Meta (META): -2.43%** — No specific news in the sources today.

7. Analysis: Second-Order Effects

Chain 1: The Strait of Hormuz closure + record diesel prices + Fed rate hikes

FACTS: Iran has closed the Strait of Hormuz (Source 6). Diesel prices are at record highs (Source 73). The Fed just raised rates (Source 18). **INFERENCE:** Strait of Hormuz closure -> global oil supply tightens -> Brent crude spikes -> diesel (refined from crude) gets even more expensive -> trucking, farming, and manufacturing costs soar -> headline CPI (inflation that includes food and energy) rises -> the Fed feels pressure to keep hiking rates -> higher interest rates slow borrowing across the economy -> companies that need debt to build data centers, factories, or homes face higher costs -> economic growth slows. **WEAKEST LINK:** The Fed targets *core* PCE, which excludes food and energy. If the Fed truly "looks through" the energy spike and doesn't react, the chain breaks. However, if the energy

spike persists long enough, it seeps into everything else (e.g., airline tickets, shipping surcharges, food prices), making it unavoidable. **FALSIFYING CONDITION:** Brent crude stays below \$100/barrel for the next month despite the Hormuz closure. The Strait reopens.

Chain 2: AI antitrust lawsuit + Jensen Huang as Trump's advisor + JPMorgan's \$954B capex projection

FACTS: A class-action antitrust lawsuit was filed against OpenAI, Anthropic, Google, and SpaceXAI (Source 3). Jensen Huang has become Trump's top AI advisor (Source 47, 100). JPMorgan projects cloud capex at \$954 billion (Source 62). **INFERENCE:** The lawsuit creates legal risk for the big AI labs, specifically around collusion. If the plaintiffs win, the companies could be forced to compete more aggressively and transparently, which might *accelerate* AI development (breaking their

"slowdown" agreement). Huang's influence on Trump means the US government is likely to support the AI buildout (favorable permitting, energy subsidies, chip export policies) rather than impose strict safety regulations. JPMorgan's capex projection confirms that the hyperscalers are spending regardless of the lawsuit noise. The net effect: the buildout continues, and Nvidia benefits as the primary enabler. **WEAKEST LINK:** The lawsuit could result in an injunction that temporarily halts certain R&D collaborations. Or, the companies could settle by agreeing to stricter safety protocols that slow development. The "buying opportunity" in semiconductors depends on the market believing that the lawsuit is noise, not signal. **FALSIFYING CONDITION:** A court grants a preliminary injunction blocking the companies from sharing safety research. Or a major hyperscaler (say, Google or Amazon) reduces its capex guidance on the next earnings call.

Chain 3: Record diesel prices + tariffs + rising rates squeezing American companies

FACTS: Record diesel prices (Source 73). Tariffs are biting (Source 76). The Fed is raising rates (Source 76). **INFERENCE:** This is a "triple squeeze" on corporate America. Diesel raises input costs. Tariffs raise the cost of imported materials and components. Higher rates raise the cost of debt. Companies in manufacturing, auto supply, retail, and transportation are feeling this the most. The natural response is to lay off workers and raise prices to protect profit margins. Layoffs weaken the job market, which could eventually force the Fed to stop hiking. But raising prices keeps inflation high, which forces the Fed to keep hiking. The economy is caught between a rock and a hard place. **WEAKEST LINK:** Corporate profit margins are currently very high. Companies might simply absorb the higher costs rather than pass them on or lay people off, which would break the recessionary chain. **FALSIFYING CONDITION:** Nonfarm payrolls (the monthly jobs report) stay strong, and corporate earnings reports show resilient margins.

8. Building Your Knowledge

- **The Fed's rate hikes are a blunt instrument, and energy is its blind spot.** The Fed raises rates to cool "demand" (people buying things). But diesel prices are a "supply" problem (limited refining capacity, geopolitics, war). You cannot solve a supply problem by destroying demand without causing a recession. This is the fundamental tension in the economy right now.
- **"Collusion" vs "Coordination" in AI safety.** The antitrust lawsuit is trying to prove that the AI labs' agreements to slow development were illegal collusion that harms consumers. The companies will argue they were necessary safety coordination. The legal outcome will set a precedent for how the frontier of AI research is governed.
- **The chip war is a permanent feature of US-China relations.** Even as Trump hosts Xi for a state visit, China's CXMT is trying to break export controls. Every

diplomatic breakthrough has a technological undercurrent that limits how far the relationship can thaw. Invest accordingly.

- **The Proxy War framework.** Iran uses the Houthis as a proxy to attack Saudi Arabia and threaten shipping, without directly inviting a US military response on Iranian soil. The US uses Ukraine as a proxy to degrade Russia, without direct NATO involvement. Understanding proxy dynamics is essential to reading 80% of modern conflicts.
 - **Small models are not a compromise anymore.** Ternary Bonsai 2 27B and MiniCPM5-2B are showing that you can get frontier-level performance for simple tasks at a fraction of the cost. The economics of AI inference are shifting from "pay per token to a cloud provider" to "download a 5GB file and run it forever for free." This has massive implications for which companies will capture the value of AI.
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9. Foundations & Terms

Concept Spotlight: The Federal Funds Rate Hike Cycle

What it is: The federal funds rate is the interest rate at which banks lend money to each other overnight. When the Federal Reserve (the Fed) "raises rates," it pushes this rate higher. This is the most powerful tool the central bank has to control the economy.

Why it exists / what problem it solves: The Fed raises rates when the economy is growing too fast and inflation is too high. Higher rates make borrowing more expensive for everyone — mortgages, car loans, business loans, credit cards. When borrowing is expensive, people and companies spend less, which cools the economy and brings down prices.

A concrete example: Imagine a company that wants to borrow \$1 billion to build a data center. If interest rates are 5%, they might pay \$50 million a year in interest. If the Fed raises rates to 6%, the interest cost jumps to \$60 million. That extra \$10 million might be enough to make the project unprofitable, so they cancel it. That cancellation is the "cooling" effect the Fed wants.

How it shows up in the news: Today's Fed rate hike (Source 18) is the first since 2023. The market immediately repriced stocks lower because higher rates mean future profits are worth less today. The "dot plot" — the Fed's own projection of where rates are headed — shows that more hikes are coming.

Rough benchmarks worth remembering: A 1% (100 basis point) increase in rates typically reduces stock prices by roughly 10-15% on average, because it reduces the present value of future cash flows. Long-duration assets (high-growth tech stocks, like Nvidia or Tesla) are hit harder than short-duration assets (utilities, consumer staples).

Caution or common misconception: The fed funds rate does not directly set mortgage rates or credit card rates. It is the *target* for the overnight bank lending rate, but it ripples through the entire financial system. Also, the Fed has been wrong before — rate hikes in 2022 didn't immediately slow inflation because supply chains were still broken. The effect can take 12-18 months to fully hit the economy.

Concept Spotlight: Proxy War and Escalation Dynamics

What it is: A proxy war is a conflict where two major powers use third parties (proxies) to fight each other instead of fighting directly. The major powers supply weapons, money, training, and intelligence to their side, but they avoid sending their own troops into direct combat.

Why it exists / what problem it solves: Direct war between nuclear-armed powers is incredibly dangerous. Using proxies allows a country to advance its strategic interests, weaken its adversary, and test new tactics without triggering a direct confrontation that could spiral into nuclear war.

A concrete worked example: - Iran's proxies: Iran funds, arms, and trains the Houthis in Yemen and Hezbollah in Lebanon. Today, the Houthis attacked Riyadh with a missile (Source 123). Iran did not fire that missile; the Houthis did. But Iran achieved its goal of pressuring Saudi Arabia and disrupting US allies, without giving the US a direct legal or military justification to attack Iran. - **The US's proxy:** The US supplies intelligence, weapons, and satellite data to Ukraine. Ukrainian drones hit Moscow today (Source 51). The US did not fire those drones. But the US achieves its goal of weakening Russia, without NATO troops fighting Russia.

Rough benchmarks worth remembering: Conflicts are usually fought by proxies when one or both of the major powers involved has nuclear weapons. The US-Soviet Cold War was fought almost entirely through proxies (Korea, Vietnam, Afghanistan). Today, the US-Iran conflict and the US-Russia conflict (via Ukraine) follow the same pattern.

Caution or common misconception: - Misconception: "Proxies are just puppets." In reality, proxies have their own agendas. The Houthis want to rule Yemen; Iran uses them, but they are not fully controllable. Sometimes the proxy drags its patron into a wider war against the patron's wishes. - **The risk:** Escalation can "slip its leash." A successful Houthi missile strike that kills hundreds of Americans in Saudi Arabia could force the US to retaliate directly against Iran, even if neither side wants a direct war. This is called an "escalation spiral" — each side does more, and the conflict grows beyond anyone's control.

Other Terms from Today's News

- **Antitrust lawsuit:** A lawsuit brought under laws designed to prevent companies from colluding or forming monopolies that harm consumers. In today's news, four AI labs are accused of illegally agreeing to slow development. The goal of antitrust law is to protect competition.
- **Class action:** A lawsuit filed by one or more plaintiffs on behalf of a larger group ("class") of people who have similar claims. Today's AI lawsuit is a proposed class action.
- **Proxy (geopolitical context):** A third party used by a major power to fight or act on its behalf. The Houthis are a proxy for Iran.
- **Merger & Acquisition (M&A):** The process of one company buying another (acquisition) or two companies combining (merger). The Paramount-Warner Bros. deal is M&A. "M&A activity" is a measure of corporate confidence — when companies are bullish, they buy things.
- **All-cash deal:** A merger or acquisition where the buyer pays entirely in cash rather than stock. Williams's \$5.5 billion purchase of Momentum Midstream appears to be an all-cash deal.
- **War-risk insurance premium:** The extra cost that shipping companies pay to insure their vessels when they are operating in a conflict zone. With the Strait of Hormuz closed, any ship that goes near it faces much higher premiums, which adds to global shipping costs.
- **Share buyback (or buyback):** When a company uses its own cash to buy its shares from the stock market. This reduces the number of shares outstanding, which increases the value of the remaining shares. Warren Buffett's Berkshire Hathaway is famous for its buyback strategy.

10. Bottom Line

The world is more dangerous today than it was yesterday, and the market is starting to price it in.

The Strait of Hormuz closure, the Houthi attack on Riyadh, and Ukraine's largest-ever drone strike on Moscow all point toward an escalation in the two most consequential active conflicts. The Fed's decision to raise rates — the first hike since 2023 — adds a significant headwind to markets that were already wobbly. For Laksh, the most important thing to understand today is the connection between these seemingly separate stories: oil prices drive diesel costs, which drive inflation, which drives Fed policy, which drives stock valuations.

The AI buildout is real, but the path is getting rockier. JPMorgan's \$954 billion capex projection and Bloom Energy's \$25 billion data center power deal confirm that the physical infrastructure for AI is being built at a staggering pace. Jensen Huang's new role as

Trump's AI advisor is a massive political tailwind for Nvidia and the broader ecosystem. But the antitrust lawsuit against the major AI labs introduces a new vector of legal and regulatory risk. The battle between the "accelerationists" (build fast, fix later) and the "safetyists" (slow down, ensure safety) is now being fought in the courts as well as in the labs.

What changed since yesterday: The Fed hiked rates (a major macro shift). Ukraine launched its largest-ever drone attack on Moscow. The Houthis attacked Riyadh, and the US issued its strongest travel warning yet for the Middle East. PrismML released a ternary model that changes the economics of running AI locally. And a sweeping antitrust lawsuit was filed against the four leading AI companies. Laksh's knowledge is compounding: if you understood the Strait of Hormuz chain yesterday, you can connect it to diesel prices and Fed policy today.

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- [techflowpost.com](#) — JPMorgan Research Analysis: Cloud Capex Projected at 954 Billion, Semiconductor Pullback Signals Buying Opportunity

AI & Infrastructure

- [Tom's Hardware](#) — Anthropic, OpenAI, SpaceXAI, and Google face antitrust lawsuit
- [CNBC](#) — Nvidia CEO Jensen Huang emerges as Trump's top ally in AI safety debate
- [The Tech Buzz](#) — Nvidia CEO Jensen Huang Becomes Trump's Go-To AI Advisor
- [CNBC](#) — Higher interest rates and AI safety fears put the stock market to the test last week
- [TradingKey](#) — Nscale IPO: Nvidia-Backed AI Cloud Provider Plans US Listing
- [Dealroom](#) — Bloom Energy lines up \$25B to power AI data centers
- [IndraStra Global](#) — China's CXMT Challenges the Limits of U.S. Chip Export Controls

Model & Research Watch

- [Intelligent Living](#) — Step 5 Preview: China's Cheapest Frontier AI Model Yet
- [MarkTechPost](#) — PrismML Releases Ternary Bonsai 2 27B
- [Qwen Blog](#) — Qwen-Image-2.1: Compact, efficient, and unified image creation
- [r/LocalLLaMA](#) — Qwen-Image-2.1 released!
- [USRA](#) — NASA-IBM Lunar Foundation open-Source Geospatial AI Model
- [Ars Technica](#) — T. rex teeth indicate it ran as warm as an elephant

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